

[§ 1026.1\(b\)](#)

Subpart A - General § 1026.1–§ 1026.4

§ 1026.1 Authority, purpose, coverage, organization, enforcement, and liability.

§ 1026.2 Definitions and rules of construction. (cfpb.gov/rules-policy/regulations/1026/2/)

§ 1026.3 Exempt transactions. (cfpb.gov/rules-policy/regulations/1026/3/)

§ 1026.4 Finance charge. (cfpb.gov/rules-policy/regulations/1026/4/)

Subpart B - Open-End Credit § 1026.5–§ 1026.16

Subpart C - Closed-End Credit § 1026.17–§ 1026.24

Subpart D - Miscellaneous § 1026.25–§ 1026.30

Subpart E - Special Rules for Certain Home Mortgage Transactions § 1026.31–§ 1026.45

Subpart F - Special Rules for Private Education Loans § 1026.46–§ 1026.48

Subpart G - Special Rules Applicable to Credit Card Accounts and Open-End Credit Offered to College Students § 1026.51–§ 1026.61

Appendices

Supplement I to Part 1026 - Official Interpretations

§ 1026.1 Authority, purpose, coverage, organization, enforcement, and liability.

THIS VERSION IS THE CURRENT REGULATION

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(a) Authority. This part, known as Regulation Z, is issued by the Bureau of Consumer Financial Protection to implement the Federal Truth in Lending Act, which is contained in title I of the Consumer Credit Protection Act, as amended (15 U.S.C. 1601 *et seq.*). This part also implements title XII, section 1204 of the Competitive Equality Banking Act of 1987 (Pub. L. 100-86, 101 Stat. 552). Furthermore, this part implements certain provisions of the Real Estate Settlement Procedures Act of 1974, as amended (12 U.S.C. 2601 *et seq.*). In addition, this part

§ 1026.1(b)

contained in this part have been approved by the Office of Management and Budget (OMB) under the provisions of 44 U.S.C. 3501 *et seq.* and have been assigned OMB No. 3170-0015 (Truth in Lending).

(b) Purpose. The purpose of this part is to promote the informed use of consumer credit by requiring disclosures about its terms and cost, to ensure that consumers are provided with greater and more timely information on the nature and costs of the residential real estate settlement process, and to effect certain changes in the settlement process for residential real estate that will result in more effective advance disclosure to home buyers and sellers of settlement costs. The regulation also includes substantive protections. It gives consumers the right to cancel certain credit transactions that involve a lien on a consumer's principal dwelling, regulates certain credit card practices, and provides a means for fair and timely resolution of credit billing disputes. The regulation does not generally govern charges for consumer credit, except that several provisions in subpart G set forth special rules addressing certain charges applicable to credit card accounts under an open-end (not home-secured) consumer credit plan. The regulation requires a maximum interest rate to be stated in variable-rate contracts secured by the consumer's dwelling. It also imposes limitations on home-equity plans that are subject to the requirements of § [1026.40](#) and mortgages that are subject to the requirements of § [1026.32](#). The regulation prohibits certain acts or practices in connection with credit secured by a dwelling in § [1026.36](#), and credit secured by a consumer's principal dwelling in § [1026.35](#). The regulation also regulates certain practices of creditors who extend private education loans as defined in § [1026.46\(b\)\(5\)](#). In addition, it imposes certain limitations on increases in costs for mortgage transactions subject to § [1026.19\(e\)](#) and (f).

(c) Coverage.

Official interpretation of 1(c) Coverage

(1) In general, this part applies to each individual or business that offers or extends credit, other than a person excluded from coverage of this part by section 1029 of the Consumer Financial Protection Act of 2010, title X of the Dodd-Frank Wall Street Reform and Consumer Protection Act, Public Law 111-203, 124 Stat. 1376, when four conditions are met:

- (i) The credit is offered or extended to consumers;
- (ii) The offering or extension of credit is done regularly;
- (iii) The credit is subject to a finance charge or is payable by a written agreement in more than four installments; and
- (iv) The credit is primarily for personal, family, or household purposes.

§ 1026.1(b)

installments, or if the credit card is to be used for business purposes.

(3) In addition, certain requirements of § [1026.40](#) apply to persons who are not creditors but who provide applications for home-equity plans to consumers.

(4) Furthermore, certain requirements of § [1026.57](#) apply to institutions of higher education.

(5) Except in transactions subject to § [1026.19\(e\)](#) and (f), no person is required to provide the disclosures required by sections 128(a)(16) through (19), 128(b)(4), 129C(f)(1), 129C(g)(2) and (3), 129D(h), or 129D(j)(1)(A) of the Truth in Lending Act, section 4(c) of the Real Estate Settlement Procedures Act, or the disclosure required prior to settlement by section 129C(h) of the Truth in Lending Act. Except in transactions subject to § [1026.20\(e\)](#), no person is required to provide the disclosure required by section 129D(j)(1)(B) of the Truth in Lending Act. Except in transactions subject to § [1026.39\(d\)\(5\)](#), no person becoming a creditor with respect to an existing residential mortgage loan is required to provide the disclosure required by section 129C(h) of the Truth in Lending Act.

Official interpretation of Paragraph 1(c)(5).

(d) Organization. The regulation is divided into subparts and appendices as follows:

Official interpretation of 1(d) Organization.

(1) Subpart A contains general information. It sets forth:

- (i) The authority, purpose, coverage, and organization of the regulation;
- (ii) The definitions of basic terms;
- (iii) The transactions that are exempt from coverage; and
- (iv) The method of determining the finance charge.

(2) Subpart B contains the rules for open-end credit. It requires that account-opening disclosures and periodic statements be provided, as well as additional disclosures for credit and charge card applications and solicitations and for home-equity plans subject to the requirements of § [1026.60](#) and § [1026.40](#), respectively. It also describes special rules that apply to credit card transactions, treatment of payments and credit balances, procedures for resolving credit billing errors, annual percentage rate calculations, rescission requirements, and advertising.

§ 1026.1(b)

advertising.

(4) Subpart D contains rules on oral disclosures, disclosures in languages other than English, record retention, effect on state laws, state exemptions, and rate limitations.

(5) Subpart E contains special rules for mortgage transactions. Section [1026.32](#) requires certain disclosures and provides limitations for closed-end credit transactions and open-end credit plans that have rates or fees above specified amounts or certain prepayment penalties. Section [1026.33](#) requires special disclosures, including the total annual loan cost rate, for reverse mortgage transactions. Section [1026.34](#) prohibits specific acts and practices in connection with high-cost mortgages, as defined in § [1026.32\(a\)](#). Section [1026.35](#) prohibits specific acts and practices in connection with closed-end higher-priced mortgage loans, as defined in § [1026.35\(a\)](#). Section [1026.36](#) prohibits specific acts and practices in connection with an extension of credit secured by a dwelling. Sections 1026.37 and 1026.38 set forth special disclosure requirements for certain closed-end transactions secured by real property or a cooperative unit, as required by § [1026.19\(e\)](#) and (f).

Official interpretation of Paragraph 1(d)(5).

(6) Subpart F relates to private education loans. It contains rules on disclosures, limitations on changes in terms after approval, the right to cancel the loan, and limitations on co-branding in the marketing of private education loans.

(7) Subpart G relates to credit card accounts under an open-end (not home-secured) consumer credit plan (except for § [1026.57\(c\)](#), which applies to all open-end credit plans). Section [1026.51](#) contains rules on evaluation of a consumer's ability to make the required payments under the terms of an account. Section [1026.52](#) limits the fees that a consumer can be required to pay with respect to an open-end (not home-secured) consumer credit plan during the first year after account opening. Section [1026.53](#) contains rules on allocation of payments in excess of the minimum payment. Section [1026.54](#) sets forth certain limitations on the imposition of finance charges as the result of a loss of a grace period. Section [1026.55](#) contains limitations on increases in annual percentage rates, fees, and charges for credit card accounts. Section [1026.56](#) prohibits the assessment of fees or charges for over-the-limit transactions unless the consumer affirmatively consents to the creditor's payment of over-the-limit transactions. Section [1026.57](#) sets forth rules for reporting and marketing of college student open-end credit. Section [1026.58](#) sets forth requirements for the Internet posting of credit card accounts under an open-end (not home-secured) consumer credit plan.

(8) Several appendices contain information such as the procedures for determinations about state laws, state exemptions and issuance of official interpretations, special rules for certain kinds of credit plans, and the rules for computing annual percentage rates in

[§ 1026.1\(b\)](#)

(e) Enforcement and liability. Section 108 of the Truth in Lending Act contains the administrative enforcement provisions for that Act. Sections 112, 113, 130, 131, and 134 contain provisions relating to liability for failure to comply with the requirements of the Truth in Lending Act and the regulation. Section 1204(c) of title XII of the Competitive Equality Banking Act of 1987, Public Law 100-86, 101 Stat. 552, incorporates by reference administrative enforcement and civil liability provisions of sections 108 and 130 of the Truth in Lending Act. Section 19 of the Real Estate Settlement Procedures Act contains the administrative enforcement provisions for that Act.

[Next section - § 1026.2 \(cfpb.gov/rules-policy/regulations/1026/2/\)](#)

§ 1026.2 Definitions and rules of construction.

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